# Demand and Supply

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## Demand and Supply

### Core idea

Demand describes how much consumers are willing to buy at different prices. Supply describes how much producers are willing to offer.

| Concept | Meaning |
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| Demand | Quantity buyers are willing to purchase |
| Supply | Quantity sellers are willing to offer |
| Equilibrium | The point where demand and supply meet |

### Worked interpretation

When price rises, quantity demanded commonly falls while quantity supplied commonly rises. The equilibrium price balances these two forces.